

MARKET RESEARCH REPORTING

DASS - APPLIED STATISTICS AND
DATA SCIENCE

MODULE 2. HARD SKILLS PROJECT

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RESEARCH FRAMEWORK

BUSINESS PROBLEM

GRINGOTTS BANK ALREADY HAS A RELATIVELY HIGH SHARE OF CUSTOMERS AGED 18-30 WITHIN ITS CURRENT CLIENT BASE. HOWEVER, THE BANK AIMS TO ACHIEVE ADDITIONAL GROWTH IN THIS SEGMENT. TO DO SO, IT IS NECESSARY TO UNDERSTAND WHICH CHOICE AND SATISFACTION FACTORS ARE MOST RELEVANT FOR YOUNG CUSTOMERS AND WHICH CHARACTERISTICS OF THE BANK CREATE COMPETITIVE ADVANTAGES OR LIMITATIONS IN ATTRACTING NEW CLIENTS AGED 18-30.

RESEARCH OBJECTIVE AND TASKS

OBJECTIVE

TO IDENTIFY PATTERNS OF BANK CHOICE AND PERCEPTION OF BANKING SERVICES AMONG YOUNG CUSTOMERS THROUGH A COMPARATIVE ANALYSIS OF ALL BANKS REPRESENTED IN THE DATASET.

TASKS

- TO DETERMINE THE KEY DRIVERS OF BANK CHOICE
- TO ANALYZE SATISFACTION ACROSS CORE BANK CHARACTERISTICS
- TO COMPARE BANKS BASED ON CRITICALLY IMPORTANT FACTORS;
- TO IDENTIFY DIFFERENCES BETWEEN SUBGROUPS WITHIN THE TARGET AUDIENCE
- TO FORMULATE POSITIONING RECOMMENDATIONS FOR GRINGOTTS BANK.

RESEARCH PLAN

A QUANTITATIVE STUDY BASED ON SURVEY DATA, APPLYING DESCRIPTIVE STATISTICS AND COMPARATIVE ANALYSIS TO IDENTIFY KEY CHOICE DRIVERS AND COMPETITIVE DIFFERENCES BETWEEN BANKS.

TYPES OF DATA

MAIN BANK (RESPONDENT'S PRIMARY BANK, 5 BANKS)

- TYPE: CATEGORICAL, NOMINAL (BANK NAME)
- FORMAT: TEXT/CATEGORY (ONE SELECTED BANK)

GENDER

- TYPE: CATEGORICAL, BINARY
- CODING: 1 = MALE, 2 = FEMALE
- FORMAT: NUMERIC CATEGORY CODE

AGE

- TYPE: QUANTITATIVE (NUMBER OF YEARS)
- FORMAT: INTEGER

7 STATEMENTS:

- A SERIOUS AND STABLE COMPANY
- A PROGRESSIVE AND MODERN COMPANY
- SERVICE QUALITY
- OFFERS ALL COMMON CREDIT SERVICES / PRODUCTS YOU NEED
- EASE AND SPEED OF CREDIT PROCESSING
- COMPANY'S LIFETIME ON THE MARKET
- A TRUSTWORTHY COMPANY

DESCRIPTION

- TYPE: SCALE RESPONSES 1-5 (ORDINAL SCALE)
- MEANING OF THE SCALE BY TASK: 1 = COMPLETELY DISSATISFIED, 5 = COMPLETELY SATISFIED
- FORMAT: INTEGERS 1, 2, 3, 4, 5



HOW IT SHOULD BE COLLECTED?

TO FIND OUT THE OPINIONS OF THE BANK'S CLIENTS, IT IS NECESSARY TO CONDUCT THE QUESTION IN THE FORM OF A QUESTIONNAIRE. TO OBTAIN THE NECESSARY DATA, WE NEED TO ASK 10 QUESTIONS, WHICH ARE DIVIDED INTO THREE MAIN GROUPS.

BLOCK 1. PRIMARY BANK

QUESTION: "WHICH IS YOUR PRIMARY BANK?"

RESPONSE FORMAT: SELECT ONE OPTION FROM A LIST OF 5 BANKS.

BLOCK 2. DEMOGRAPHICS

QUESTION: "YOUR GENDER?"
OPTIONS: MALE / FEMALE
CODING:
MALE = 1, FEMALE = 2.

QUESTION: "YOUR AGE (IN FULL YEARS)?"
FORMAT: NUMERICAL WHOLE NUMBER ENTRY.

BLOCK 3. RATINGS FOR 7 STATEMENTS (FOR PRIMARY BANK)

THE BLOCK IS PRECEDED BY THE FOLLOWING INSTRUCTIONS:

"NEXT, RATE HOW SATISFIED YOU ARE WITH YOUR PRIMARY BANK FOR EACH STATEMENT. USE A SCALE OF 1 TO 5."

FOR EACH OF THE 7 STATEMENTS, A SEPARATE QUESTION IS ASKED WITH THE SAME RESPONSE SCALE:

SCALE (SAME FOR ALL 7 QUESTIONS):

- 1 - ABSOLUTELY DISSATISFIED
- 2 - SOMEWHAT DISSATISFIED
- 3 - NEUTRAL/AVERAGE
- 4 - SOMEWHAT SATISFIED
- 5 - COMPLETELY SATISFIED

THE WORDING OF THE QUESTIONS SHOULD BE TIED TO THE PRIMARY BANK, FOR EXAMPLE:

"HOW SATISFIED ARE YOU THAT YOUR PRIMARY BANK IS A REPUTABLE AND STABLE COMPANY?"

"...A PROGRESSIVE AND MODERN COMPANY?"

"...THE QUALITY OF SERVICE?"

"...THAT THE BANK OFFERS THE STANDARD LOAN PRODUCTS YOU NEED?"

"...THE EASE AND SPEED OF APPLYING FOR LOAN PRODUCTS?"

"...HOW LONG-STANDING WOULD YOU RATE THE BANK IN THE MARKET?"

"...HOW TRUSTWORTHY IS THE BANK?"

METHODOLOGY

DATA PREPARATION AND QUALITY CHECK

FIRST, WE SIMPLY ENSURE THAT THE DATABASE IS IN GOOD ORDER:

- THERE ARE NO BLANK ANSWERS WHERE THEY SHOULDN'T BE;
- GENDER IS CODED CORRECTLY;
- AGE APPEARS REALISTIC;
- SCALE RATINGS ARE ONLY VALID FROM 1 TO 5.

IF THERE ARE ANY ERRORS (FOR EXAMPLE, AN OUT-OF-SCALE VALUE), WE EITHER CORRECT THEM ACCORDING TO PRE-DEFINED RULES OR MARK THEM AS "NO DATA" SO THAT THEY DON'T SKEW THE CONCLUSIONS.

DESCRIPTIVE STATISTICS

NEXT, WE PRESENT A BASIC PICTURE OF THE TARGET AUDIENCE:

- WHICH BANK PEOPLE MOST OFTEN NAME AS THEIR PRIMARY BANK (IN UNITS AND PERCENTAGES);
- HOW, ON AVERAGE, PEOPLE RATE EACH OF THE 7 FACTORS (E.G., SERVICE, TRUST, MODERNITY, ETC.);
- HOW MANY PEOPLE GIVE HIGH RATINGS (E.G., 4-5) FOR EACH FACTOR.

THIS IS NECESSARY TO QUICKLY UNDERSTAND WHERE EVERYTHING IS GOING WELL, AND WHERE THE AUDIENCE HAS WEAKNESSES OR DOUBTS.

BANK COMPARISON BASED ON 7 FACTORS

HERE, WE CREATE A PROFILE OF 7 FACTORS FOR EACH BANK, SHOWING:

- BY WHICH PARAMETERS THE BANK APPEARS STRONGER;
- WHERE IT FALLS SHORT COMPARED TO COMPETITORS;
- AND WHAT MAKES IT STAND OUT OVERALL.

THE RESULT IS A CLEAR COMPARISON: WHICH BANKS EXCEL IN TRUST, WHICH IN MODERNITY, WHICH IN SERVICE, AND WHERE GRINGOTTS CAN STRENGTHEN ITS POSITION TO ATTRACT MORE 18- TO 30-YEAR-OLDS.

EXPECTED RESULTS AND INSIGHTS

THE "PAIN POINT" FOR YOUNG PEOPLE ISN'T SERVICE OR PRODUCTS, BUT RATHER THE PERCEPTION OF MODERNITY AND, TO A LESSER EXTENT, "EXPERIENCE/MARKET PRESENCE."

GRINGOTTS ALREADY HAS A STRONG POSITION IN THE 18-30 SEGMENT, BUT THERE'S DEFINITELY ROOM FOR IMPROVEMENT: IF YOU LOOK AT THE YOUTH SEGMENT AS A WHOLE, THE MAJORITY IS STILL HELD BY COMPETITORS. THEIR MAIN COMPETITORS IN TERMS OF SHARE IN THIS AGE GROUP ARE UNOCREDIT AND BANK OF BRAAVOS.

AT THE SAME TIME, IT'S CLEAR THAT ALMOST ALL BANKS RECEIVE HIGH RATINGS FOR FACTORS SUCH AS SERVICE, STABILITY, LOAN PRODUCTS, AND SPEED. THIS MEANS THAT STANDING OUT ON THESE FACTORS ALONE WILL BE DIFFICULT, THE MARKET OVERALL IS DOING QUITE WELL.

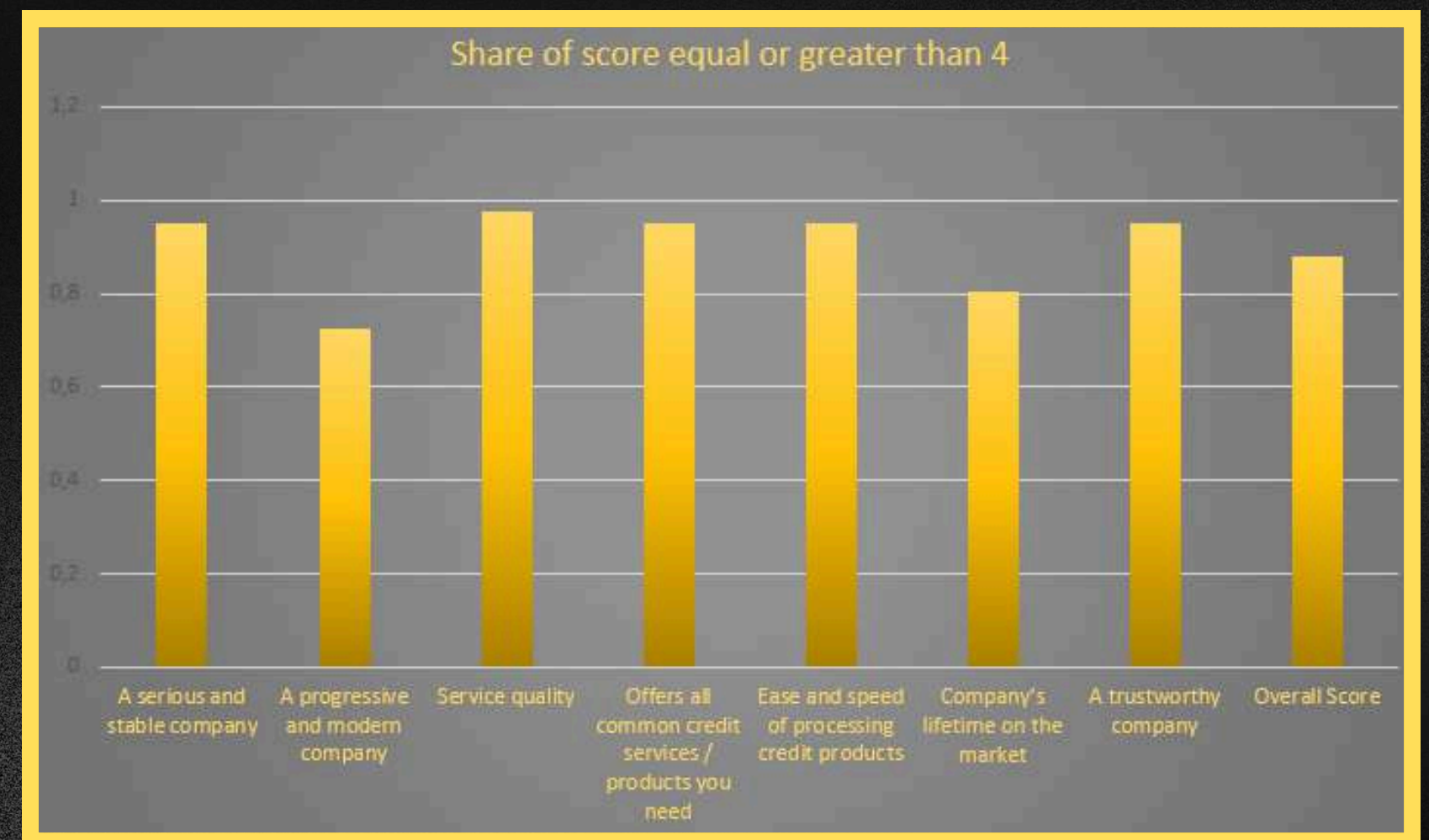
IF YOU LOOK AT FACTORS, THE WEAKEST AREAS IN THE 18-30 SEGMENT ARE MODERN/PROGRESSIVE AND LIFETIME ON THE MARKET. THE LOGIC IS SIMPLE:

- THE AVERAGE RATINGS FOR THESE CATEGORIES ARE LOWER THAN THE OTHERS,
- AND THE SHARE OF HIGH RATINGS (4-5) IS ALSO LOWER.

THEREFORE, THIS IS LIKELY WHERE GROWTH LIES.

AS FOR GRINGOTTS SPECIFICALLY, IT IS SLIGHTLY BELOW THE MARKET AVERAGE FOR ALMOST ALL FACTORS EXCEPT STABILITY. THIS RESEMBLES A SITUATION WHERE PEOPLE ARE ALREADY CHOOSING A BANK NORMALLY, BUT TO ATTRACT EVEN MORE YOUNG PEOPLE FROM COMPETITORS, THEY NEED TO REFINE THEIR PERCEPTIONS, AIMING PRIMARILY FOR MODERNITY AND TRUST.

AND ANOTHER POINT: IMN BANK IS REPRESENTED BY LITERALLY ONE PERSON IN THE 18-30 AGE GROUP, SO IT'S IMPOSSIBLE TO DRAW ANY CONCLUSIONS BASED ON THIS.



RECOMMENDATIONS

WHEN COMPARING GRINGOTTS WITH OTHER BANKS, WE SEE THAT PEOPLE AGED 18-30 VALUE THEIR PRIMARY BANKS BASED ON VARIOUS CHARACTERISTICS, WITHOUT SINGLING OUT ANY SPECIFIC ONES. THEREFORE, THE OPTIMAL SOLUTION IN THIS SITUATION IS TO ADJUST THE NECESSARY PARAMETERS TO THE MARKET LEVEL, AS GRINGOTTS CURRENTLY UNDERPERFORMS THE MARKET AVERAGE IN ALL BUT THE "SERIOUS AND STABLE COMPANY" CATEGORY.

MODERN AND PROGRESSIVE

THIS IS THE MAIN DRIVER OF GROWTH IN THE 18-30 DEMOGRAPHIC. THIS METRIC RECEIVES THE LEAST POSITIVE RATINGS AMONG YOUNG PEOPLE.

WE NEED TO NOT ONLY IMPROVE, BUT ALSO DEMONSTRATE IT EFFECTIVELY: FOCUS COMMUNICATIONS ON THE DIGITAL EXPERIENCE (APP, ONBOARDING, CONVENIENCE, FAST WORKFLOWS, CLEAR FEATURES).

FOCUS ON COMPETITIVE CROSSOVER

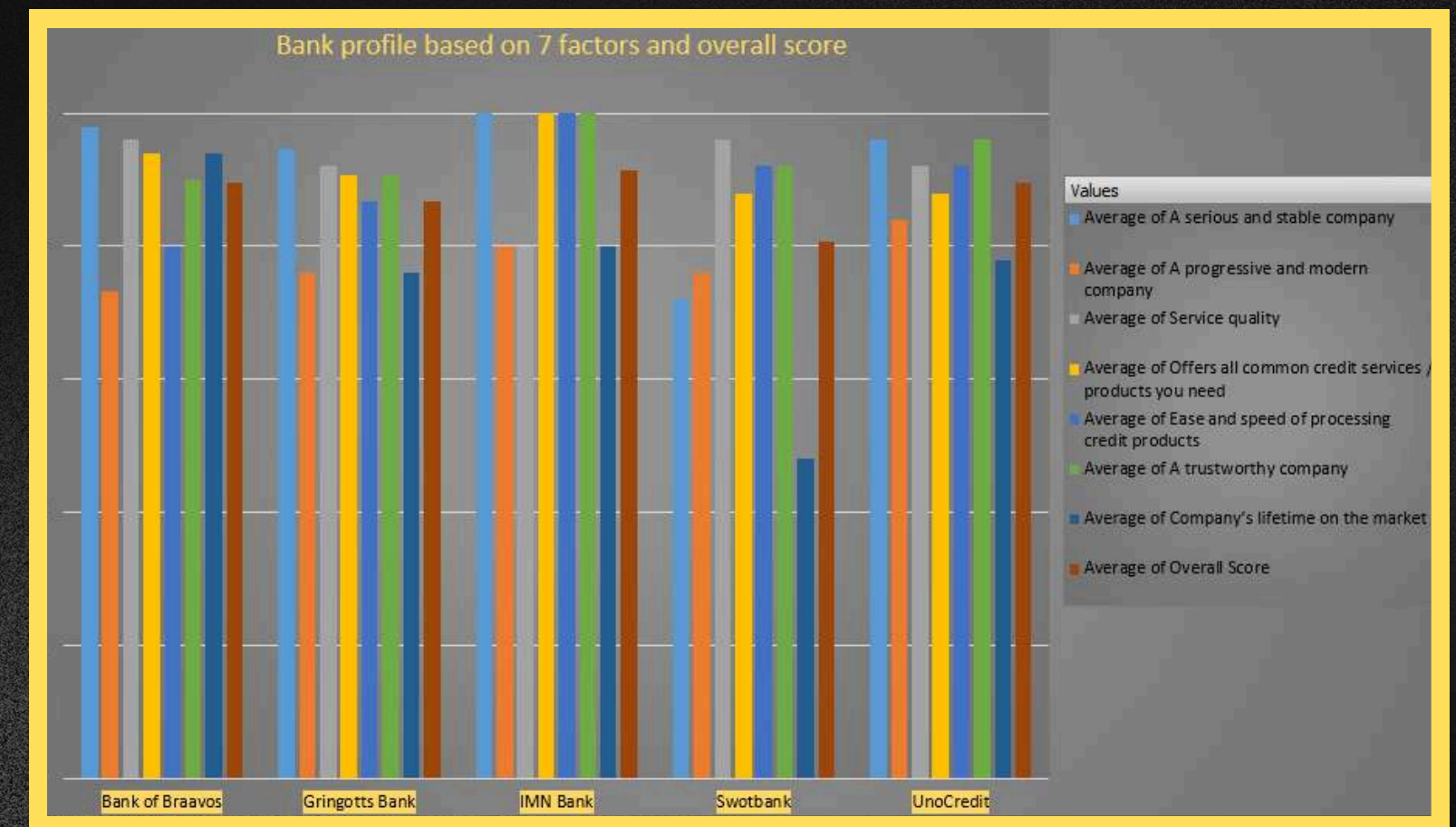
GIVEN MARKET SHARE, THE MAIN BATTLE FOR YOUNG PEOPLE IS BETWEEN UNOCREDIT AND BANK OF BRAAVOS. THE LOGIC IS SIMPLE:

- AGAINST UNOCREDIT, IMPROVE OR HIGHLIGHT TRUSTWORTHINESS AND MODERNITY;
- AGAINST BRAAVOS, MAINTAIN STABILITY BUT WIN ON MODERNITY.

TRUST AND LIFETIME

VALUE THROUGH FACTS, NOT SLOGANS.

FOR YOUNG PEOPLE, EXPERIENCE IN ITSELF ISN'T CRITICAL, BUT IT IS LINKED TO RELIABILITY. THEREFORE, EVIDENCE IS NEEDED: TRANSPARENT TERMS, SECURITY, GUARANTEES, CLEAR FEES, PUBLIC REVIEWS/CASE STUDIES.



18-21

AMONG RESPONDENTS, THE 18-21 AGE GROUP WAS THE LARGEST, ACCOUNTING FOR 19% OF ALL RESPONDENTS. WITHIN THIS GROUP, GRINGOTTS BANK IS THE MOST POPULAR (47%, OR 9 PEOPLE), HIGHLIGHTING ITS APPEAL TO YOUNG PEOPLE. YOUNG CLIENTS RATE THE BANK HIGHLY BASED ON CRITERIA SUCH AS TRUST (AVERAGE SCORE OF 4.58) AND SERVICE QUALITY (4.53). THE "PROGRESSIVE AND MODERN COMPANY" INDICATOR (4.11) STANDS OUT, BEING THE HIGHEST AMONG ALL AGE CATEGORIES. THIS SUGGESTS THAT THIS AUDIENCE VALUES NOT ONLY BASIC BANKING SERVICES BUT ALSO A MODERN BRAND IMAGE, WHICH FOSTERS LOYALTY THROUGH A HOLISTIC PERCEPTION OF RELIABILITY, QUALITY SERVICE, AND INNOVATION.

22-25

CLIENTS IN THIS GROUP (8% OF THE SAMPLE) ARE MORE EVENLY DISTRIBUTED ACROSS BANKS, WITH A CLEAR PREFERENCE FOR BANK OF BRAAVOS (3 INDIVIDUALS, 37.5%). ALTHOUGH THEIR AVERAGE TRUST SCORE (4.50) IS SLIGHTLY LOWER THAN THAT OF YOUNGER RESPONDENTS, THEY DEMONSTRATE THE BEST RESULTS IN TERMS OF CONVENIENCE AND PROCESSING SPEED FOR LOAN PRODUCTS (4.63). THIS UNDERSCORES THEIR FOCUS ON THE PRACTICALITY AND EFFICIENCY OF BANKING SERVICES. UNLIKE THE YOUNGER GROUP, THE IMAGE OF A "PROGRESSIVE AND MODERN COMPANY" (4.00) IS LESS IMPORTANT TO THEM, INDICATING A PREDOMINANCE OF FUNCTIONAL BENEFITS OVER REPUTATIONAL FACTORS.

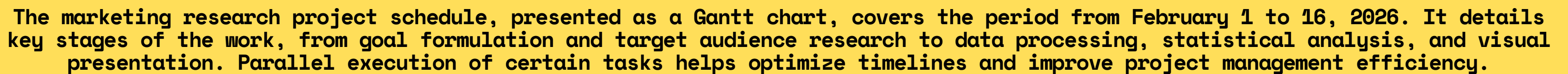
26-30

A SAMPLE ANALYSIS REVEALED THAT 14% OF RESPONDENTS AGED 26-30 EXHIBIT MORE MATURE BEHAVIOR WHEN CHOOSING A BANK. THEIR PREFERENCES LEAN TOWARD UNOCREDIT (36%), GRINGOTTS BANK (29%), AND BANK OF BRAAVOS (21%), DEMONSTRATING A DESIRE FOR BANKS WITH A STABLE AND REPUTABLE IMAGE. RELIABILITY IS A KEY FACTOR FOR THIS GROUP, AS EVIDENCED BY THE HIGHEST AVERAGE TRUST SCORE (4.71). A HIGH SERVICE QUALITY SCORE (4.64) ALSO HIGHLIGHTS THE IMPORTANCE OF FUNCTIONAL FEATURES. ALTHOUGH THE SPEED AND EASE OF PROCESSING LOAN PRODUCTS (4.29) ARE SLIGHTLY LOWER THAN THOSE OF YOUNGER RESPONDENTS, THEY REMAIN HIGH.

Age group	Average Service quality	Average Ease and speed of processing credit products	Average A trustworthy company	Average A progressive and modern company
18-21	4.526315789	4.315789474	4.578947368	4.105263158
22-25	5	4.625	4.5	4
26-30	4.642857143	4.285714286	4.714285714	3.857142857
Total	4.658536585	4.365853659	4.609756098	4

Average A trustworthy company				
Main bank	18-21	22-25	26-30	Total
Bank of Braavos	4.75	4.666666667	4	4.5
Gringotts Bank	4.444444444	4	5	4.533333333
IMN Bank	5			5
Swotbank	4	4.5	5	4.6
UnoCredit	4.75	5	4.8	4.8
Total	4.578947368	4.5	4.714285714	4.609756098

Main bank.						
Age group	Bank of Braavos	Gringotts Bank	IMN Bank	Swotbank	UnoCredit	Total
18-21	4	9	1	1	4	19
22-25	3	2		2	1	8
26-30	3	4		2	5	14
Others	16	10	9	13	11	59
Total	26	25	10	18	21	100



TRUST AND STABILITY AS FOUNDATIONAL CONDITIONS

BANKING ACTIVITY IS STRUCTURALLY TRUST-BASED.

PERCEPTION OF A BANK AS “SERIOUS AND STABLE” AND “TRUSTWORTHY” FORMS THE BASELINE CONDITION FOR CONSIDERATION AS A PRIMARY BANK.

HOWEVER, TRUST REPRESENTS A NECESSARY BUT NOT SUFFICIENT CONDITION FOR COMPETITIVE LEADERSHIP.

SURVEY VARIABLES:

- *A SERIOUS AND STABLE COMPANY*
- *A TRUSTWORTHY COMPANY*

ANALYTICAL FOUNDATION:

- *WORLD ECONOMIC FORUM – DIGITAL TRUST*
- *DELOITTE – TRUST IN FINANCIAL SERVICES*

YOUTH SEGMENT AS REPUTATION-SENSITIVE AUDIENCE

YOUNGER CUSTOMERS DEMONSTRATE HIGHER SENSITIVITY TO BRAND PERCEPTION AND INSTITUTIONAL CREDIBILITY.

REPUTATION AND PERCEIVED RELIABILITY INFLUENCE PREFERENCE FORMATION AND LOYALTY DEVELOPMENT.

COMPETITIVE POSITIONING IN THE 18–30 SEGMENT REQUIRES COMBINING INSTITUTIONAL TRUST WITH CLEAR DIFFERENTIATION.

SOURCES:

- *NAFI — STUDIES ON FINANCIAL BEHAVIOUR OF YOUNG CONSUMERS*
- *BANK OF RUSSIA — ANALYTICAL REVIEWS OF HOUSEHOLD FINANCIAL BEHAVIOUR*

LONG-TERM VALUE OF EARLY CUSTOMER ACQUISITION

ACQUIRING CUSTOMERS AT A YOUNG AGE IS ASSOCIATED WITH HIGHER CUSTOMER LIFETIME VALUE (CLV).

A LONGER INTERACTION HORIZON INCREASES THE CUMULATIVE ECONOMIC RETURN PER CUSTOMER.

AS CUSTOMERS AGE, THE LIKELIHOOD OF EXPANDING THEIR PRODUCT PORTFOLIO (LOANS, MORTGAGES, INVESTMENTS) INCREASES, STRENGTHENING THE SEGMENT'S FINANCIAL SIGNIFICANCE.

SOURCES:

- MCKINSEY & COMPANY — CUSTOMER LIFETIME VALUE IN RETAIL BANKING
- BAIN & COMPANY — THE ECONOMICS OF CUSTOMER LOYALTY
- HARVARD BUSINESS REVIEW — CUSTOMER LIFETIME VALUE

FINAL STRATEGIC CONCLUSION

GROWTH OPPORTUNITY IN THE 18-30 SEGMENT

- GRINGOTTS ALREADY HAS A NOTICEABLE SHARE OF CUSTOMERS AGED 18-30, BUT MOST YOUNG PEOPLE STILL CHOOSE OTHER BANKS AS THEIR PRIMARY OPTION.
- TRUST AND STABILITY ARE STRONG ADVANTAGES OF THE BANK, BUT THEY ARE NOT ENOUGH TO INCREASE MARKET SHARE.
- TO GROW IN THIS SEGMENT, THE BANK NEEDS TO CONSIDER DIFFERENCES WITHIN THE YOUTH AUDIENCE.

WHAT SHOULD BE DONE

- ADAPT COMMUNICATION TO DIFFERENT AGE SUBGROUPS (18-21, 22-25, 26-30).
- FOR 18-21, FOCUS ON MODERNITY AND DIGITAL EXPERIENCE.
- FOR 22-25, EMPHASIZE SPEED AND CONVENIENCE.
- FOR 26-30, HIGHLIGHT RELIABILITY AND LONG-TERM STABILITY.
- PAY MORE ATTENTION TO RETAINING EXISTING YOUNG CUSTOMERS, AS THEY BRING LONG-TERM VALUE TO THE BANK.

OVERALL CONCLUSION

- TO INCREASE ITS SHARE IN THE 18-30 SEGMENT, GRINGOTTS SHOULD NOT ONLY MAINTAIN ITS IMAGE AS A RELIABLE BANK, BUT ALSO CLEARLY COMMUNICATE ITS ADVANTAGES COMPARED TO COMPETITORS.

THANK YOU

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